

To provide better context and make the performance of the FANG stocks comparable to the performance of the broad market indices, we can once again convert the above returns into a compound annual rate, as seen in [Figure 7.4](#). Doing so reveals that the FANG names have provided annual returns about double that of the broad market indices over the last few years, with Netflix as the standout for the group. Yet when compared with bitcoin, every other investment pales.

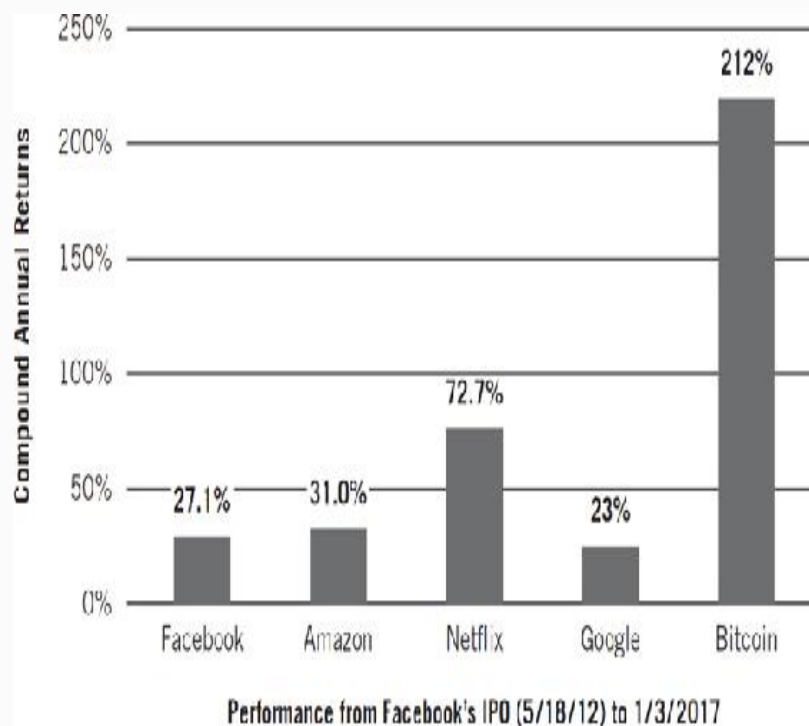


Figure 7.4 ■ Bitcoin's compound annual returns versus the FANG stocks since Facebook's IPO

Data sourced from Bloomberg and CoinDesk

Remember that, as of January 2017, bitcoin's network value was 1/20, 1/22, 1/3, and 1/33 that of the FANG stocks respectively. Therefore, if bitcoin is to grow to a similar size,